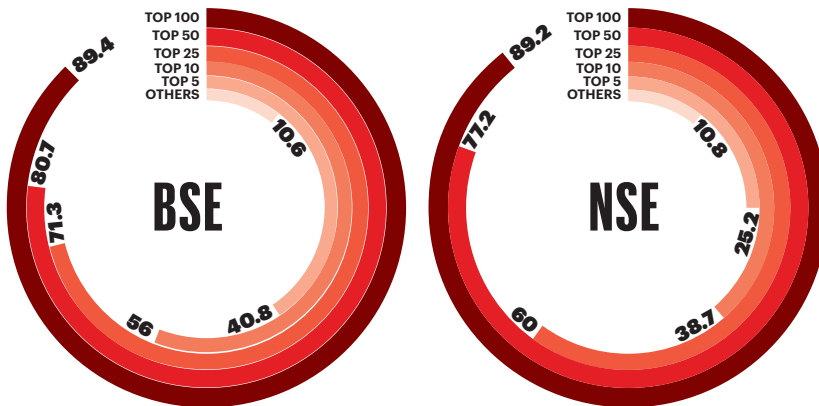


THE BIG BROKERAGE CLUB

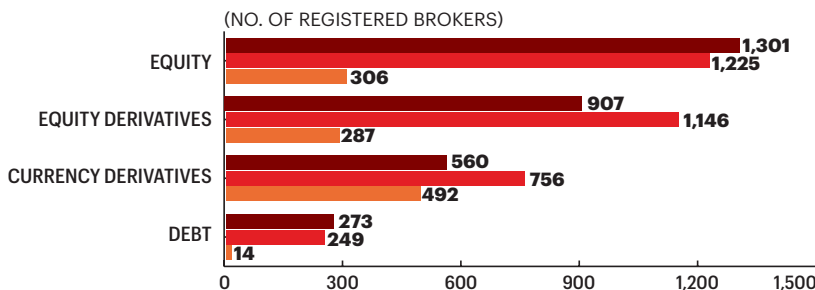
THE TOP FEW BROKERAGES OF BSE AND NSE ACCOUNT FOR A BULK OF THEIR TRADING VOLUMES



FIGURES ARE SHARE OF REGISTERED BROKERS IN TOTAL TRADING VOLUME IN PER CENT DATA AS OF NOVEMBER 30; **SOURCE** SEBI

SHARE POWER

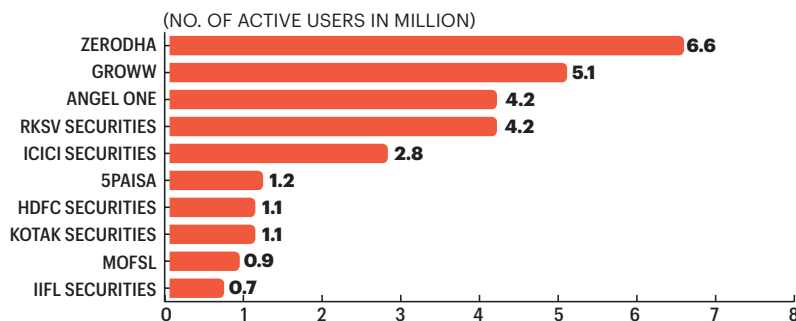
THE EQUITY SEGMENT HAS THE HIGHEST NUMBER OF BROKERS



● BSE ● NSE ● METROPOLITAN STOCK EXCHANGE OF INDIA (MSEI)
DATA AS OF NOVEMBER 30, 2022; NOTE: THE NUMBERS ABOVE ARE OVERLAPPING BECAUSE BROKERS ARE REGISTERED FOR MULTIPLE SEGMENTS **SOURCE** SEBI

BARGAIN BOUNTY

START-UP BROKERAGES OFFERING DISCOUNTED BROKING HAVE STOLEN A MARCH OVER TRADITIONAL BROKERAGES



*DATA AS OF NOVEMBER 30, 2022; TOP 10 BROKERAGES IN TERMS OF NUMBER OF ACTIVE CLIENTS; MOFSL: MOTILAL OSWAL FINANCIAL SERVICES LTD; NUMBERS HAVE BEEN ROUNDED OFF; **SOURCE** NSE

good place to begin one's investing journey, for wealth creation and preservation, investors turn to full-service broking and advisory firms," says R. Venkataraman, Chairman of IIFL Securities. For long-term sustainable wealth creation, investors are happy to pay a small advisory fee, he adds.

PRICING POWER

Fee-based income from segments like distribution, loans and advisory is the most common form of diversification that brokerages are looking at as they believe that there is enough demand for such services especially at a time when the markets are seeing a steady inflow of new investors. "There are various ways for brokerages to diversify and boost their income. This could be through building various distribution businesses like mutual funds, debt instruments, insurance, NPS (National Pension System) and other such products that can help customers in their financial journey," says Ashish Rathi, Whole-time Director at HDFC Securities.

For ICICI Securities, distribution accounted for around 18 per cent of the revenue in Q2FY23 and the brokerage is eyeing a much larger proportion in the times to come. Meanwhile, Gopkumar of Axis Securities believes that compared to discount broking firms, traditional brokerages are in a much better position to charge customers a fee given their expertise and array of offerings. "As a full-service brokerage house, we are in a sweet spot, given that retail investors currently require handholding due to low financial literacy and penetration levels in India. With most standalone brokers building capabilities around customer education and offering the right investment products, they will always have an advantage over discount brokers," he says.